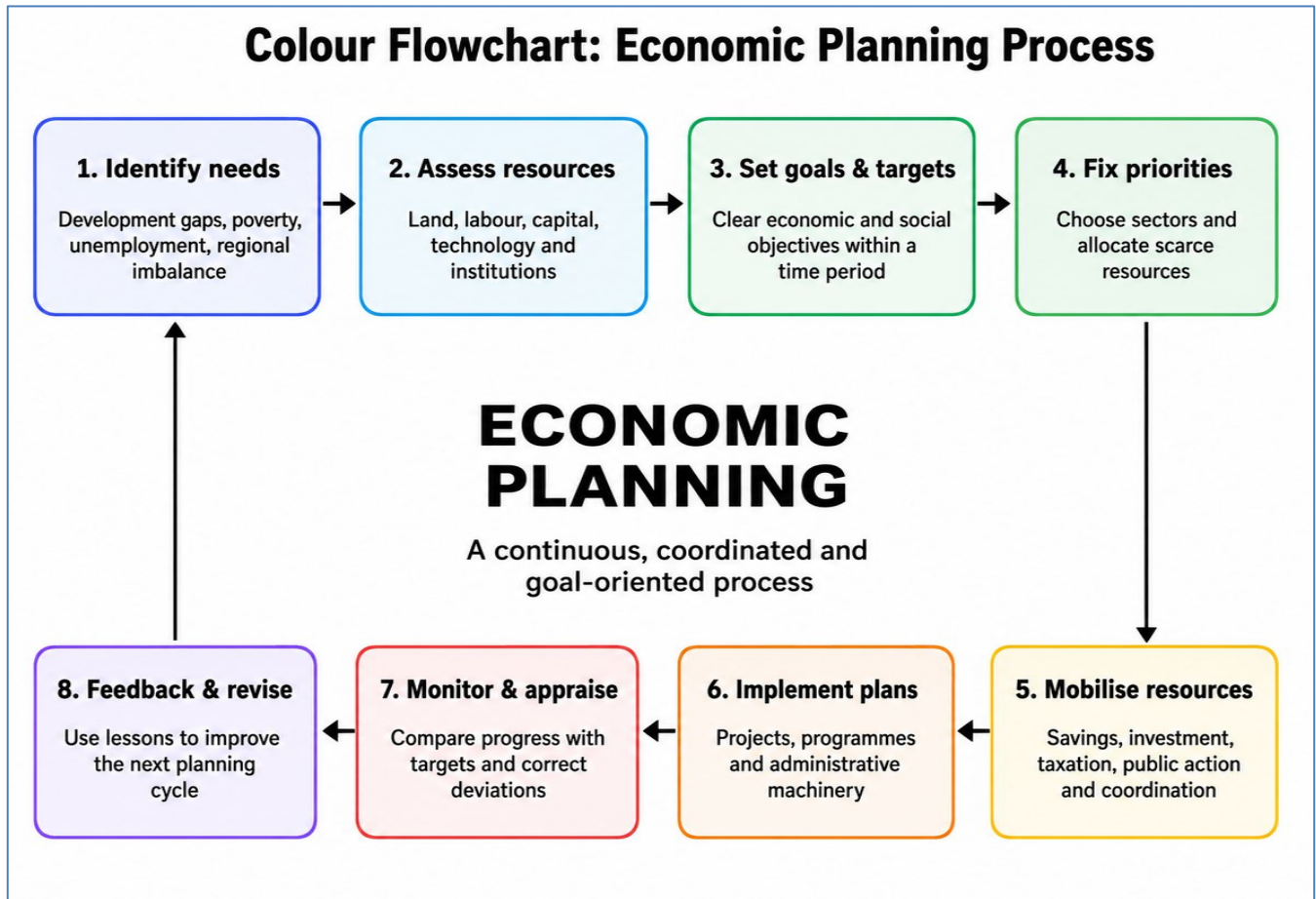


ECONOMIC PLANNING

Concept • Planning in India • Five-Year Plans

Economic Planning Concept

Meaning • Definitions • Features • Objectives • Need • Importance • Advantages



1. Meaning and Core Idea

In its simplest sense, economic planning is the process by which a region or nation manages its economy in an orderly manner. It is used to pursue economic growth and social justice by coordinating economic variables, mobilising productive resources and directing them toward chosen goals.

DEFINITION: Economic planning is the deliberate control and direction of the economy by the state or a central authority to achieve definite economic and social targets within a scheduled period.

2. Essential Elements of Planning

- Predetermined goals: the society first decides what it wants to achieve.
- State intervention: public authority influences or controls major economic decisions.
- Mobilisation of resources: land, labour, capital, technology and institutions are brought into productive use.
- Choice of means: policies, projects and programmes are selected to achieve the goals.
- Coordination: sectors and regions are linked so that one action supports another.
- Time frame: targets are expected to be achieved within a stipulated period.

3. Types of Economic Systems in Relation to Planning

System	Main character
Planned / centrally planned economy	The state controls or directs major sectors and decides what, how much and for whom to produce. Enterprises may be state-owned, privately owned but state-directed, or a combination.
Unplanned / market economy	Production, distribution, prices and investment are mainly decided by private owners and consumers through market forces.
Indicative economy	The state guides rather than compels. It uses influence, subsidies, grants, taxation and information to encourage desired outcomes.

4. Definitions by Economists

Central idea	
Prof. Robinson	Planning involves collective control or suppression of private activities of production and exchange.
F. Zweig	Planning expands the functions of public authorities for organising and using economic resources and tends toward centralisation.
Lewis Lordwin	Separate plants, enterprises and industries are treated as coordinated parts of one system to maximise satisfaction of people's needs within a given time.
H. W. Dickinson	Major decisions about what, how much, how, when, where and for whom to produce are consciously taken by a determinate authority after surveying the economy as a whole.
W. Arthur Lewis	The term can be used in several senses, from geographic allocation of productive resources to the setting of objectives and allocation among sections of society.

5. Features of Economic Planning

Feature	Meaning / importance
Definite aims and objectives	Planning begins with clear economic and social goals, not vague intentions.
Central planning authority	A recognised authority sets goals, priorities and courses of action.
Stipulated time	Targets are attached to a defined time period.
Regional balance	Planning attempts to reduce uneven development among regions.
Comprehensive character	Major sectors and variables are considered together rather than in isolation.
Optimum use of resources	Scarce resources are allocated to uses that best support national objectives.

6. Objectives of Economic Planning

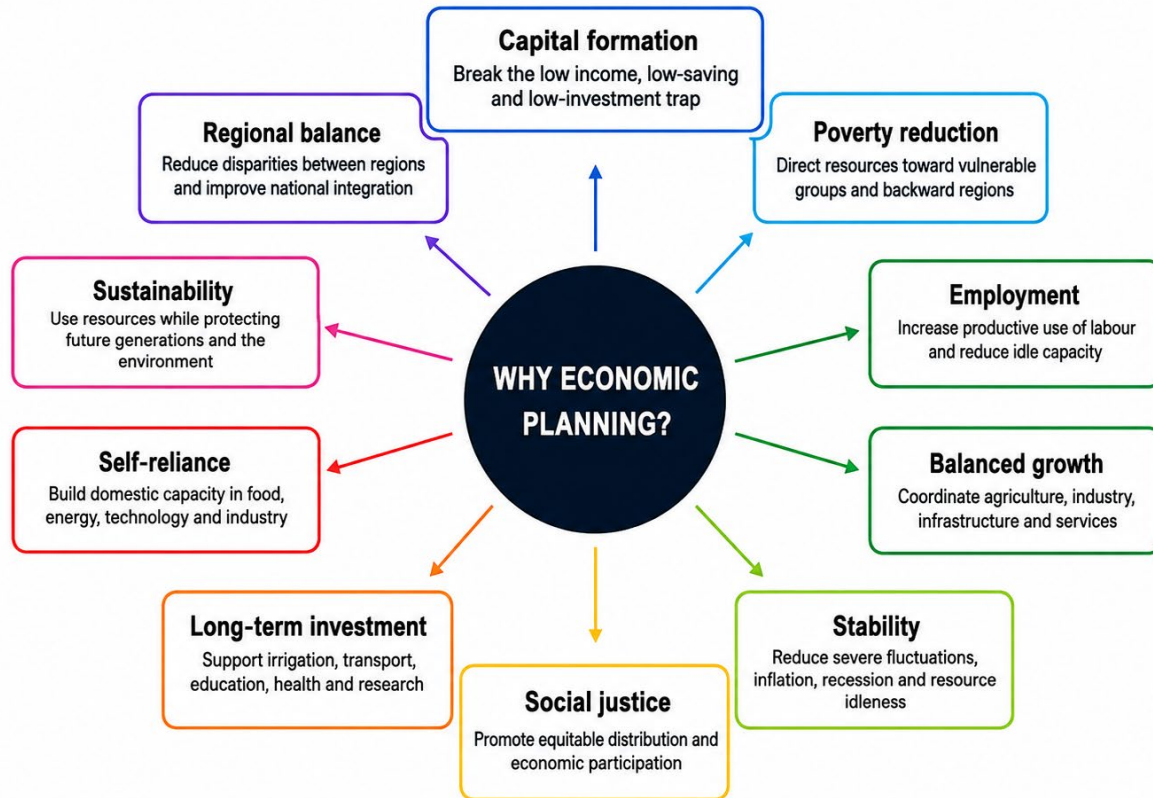
The objectives of planning vary by country and time because social needs and resource availability change. Nevertheless, the source identifies several broad and recurring aims:

- Achieve social justice and equitable distribution of wealth.
- Create opportunities for economic participation and employment.
- Improve the quality of human capital through education, health and welfare.
- Promote sustainable development while protecting the needs of future generations.
- Accelerate capital formation and productive investment.

- Reduce poverty, unemployment, regional backwardness and inequality.
- Raise production, income and the standard of living.

7. Need and Importance of Economic Planning

Need and Importance of Economic Planning



Need	Why it matters
Organisation of dormant resources	Land, capital and natural resources do not automatically produce development; planning organises and directs them.
Scarcity and choice	Resources are limited, so priorities are necessary. Planning helps select the most socially valuable uses.
Coordination of sectors	Agriculture, industry, power, transport, education and health are interdependent; planning prevents fragmented development.
Long-term perspective	Large projects may have risky, delayed or widely distributed returns. Planning allows continuity beyond short market cycles.
Balanced development	It can reduce regional, rural-urban and social disparities by directing resources toward neglected areas.
Economic stability	Planned utilisation can reduce unemployment, idle capacity and severe instability when administration is effective.
Collective goals	Public health, education, infrastructure and national self-reliance require action beyond individual profit motives.
Sustainable development	Planning can account for future generations, environmental assets and efficient resource use.

8. Advantages of Economic Planning

Advantage	Explanation
Production of necessary goods	Public authority can ensure essential goods and services are produced even when free-market profitability is uncertain.
Stability and full utilisation	Ideally, planning keeps labour and productive facilities in continuous use and reduces the effects of recession, inflation and business cycles.
Long-term infrastructure investment	Projects such as irrigation, transport, education, immunisation or advanced research can continue despite uncertain or diffuse returns.
Conformance to a grand design	Cities, transport systems and industries can be designed as coordinated systems instead of emerging through unconnected decisions.
Collective objectives	Land, labour and capital can be directed toward national development, heavy industry or social priorities.
Faster structural transformation	An underdeveloped economy may build basic and heavy industries without waiting for capital to accumulate gradually through market evolution.

9. Limitations and Critical Perspective

The document also contains material that supports a critical assessment of planning. These points are useful for balanced answers:

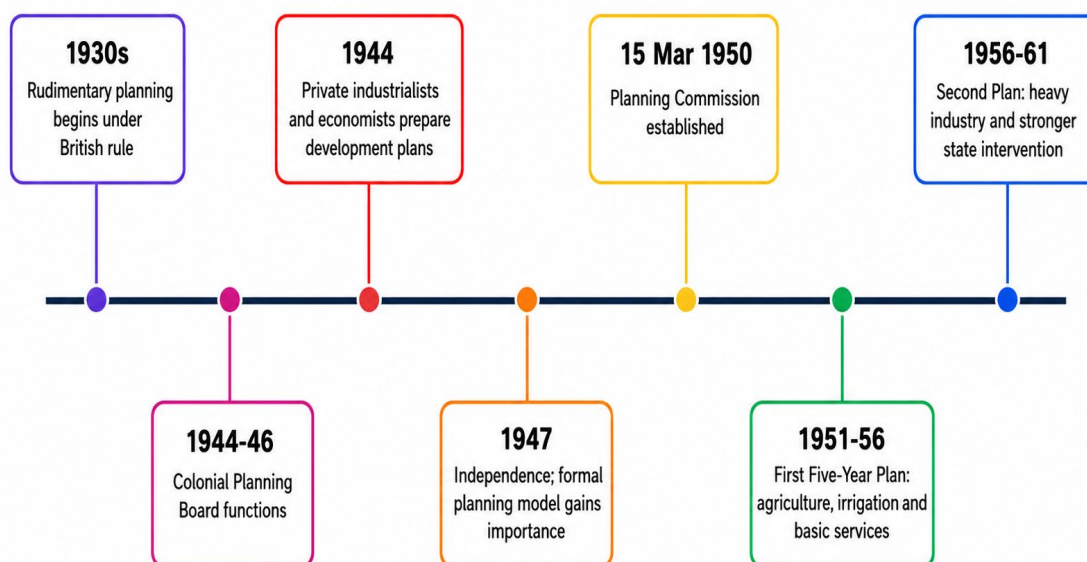
- Excessive centralisation can reduce flexibility and weaken the role of consumer preferences.
- Bureaucratic permissions and controls may delay investment, expansion, closure or restructuring of firms.
- Subsidies can keep inefficient enterprises alive and create a burden on public resources.
- Resource allocation may be distorted by political preferences rather than economic and social returns.
- Collective goals can require individual sacrifice and lower short-term consumption.
- Poor implementation, weak monitoring and inaccurate information can make even well-designed plans ineffective.
- Neglect of agriculture or rural areas can deepen inequality and undermine poverty reduction.

Economic Planning in India

Historical development • Mixed economy • Planning Commission • Organisation • Functions

1. Historical Development

Historical Development of Economic Planning in India



The timeline shows the transition from early planning experiments to formal Five-Year Plans.

2.

Period / date	Development
1930s	Early or rudimentary planning began under British rule.
1944-1946	The colonial government established a Planning Board.
1944	Private industrialists and economists formulated several development plans.
After Independence	India adopted a formal model of planning linked directly with the Prime Minister.
15 March 1950	The Planning Commission was established, with Prime Minister Jawaharlal Nehru as chairman.
1951-1956	The First Five-Year Plan concentrated on selected industries, agriculture, irrigation and basic development.
1956-1961	The Second Plan adopted a more interventionist strategy and emphasised heavy industry and public control.

5. Planning Commission of India (Historical)

The Planning Commission was set up by a Government of India resolution in March 1950. In July 1951 it presented a draft outline for development covering April 1951 to March 1956. The draft included projects already under execution and additional proposals, and it was discussed with Central Ministries, State Governments and the country at large.

Organisation described in the source

- Prime Minister as ex-officio Chairman.
- A nominated Deputy Chairman with Cabinet rank.
- Certain Cabinet Ministers as part-time members.
- Full-time members drawn from economics, industry, science and general administration.
- Work carried out through general planning and programme administration divisions.
- A strong presence of economists and members of the Indian Economic Service.

6. Functions of the Planning Commission

Function	Need and importance
Assessment of resources	Estimate the country's physical, financial and human resources.
Formulation of Five-Year Plans	Prepare plans for the effective use of available resources.
Priorities and allocation	Determine sectoral priorities and distribute resources among programmes.
Implementation machinery	Specify the administrative and institutional arrangements needed for success.
Periodical appraisal	Review progress, identify shortfalls and recommend corrective action.

7. Planning Process in India -

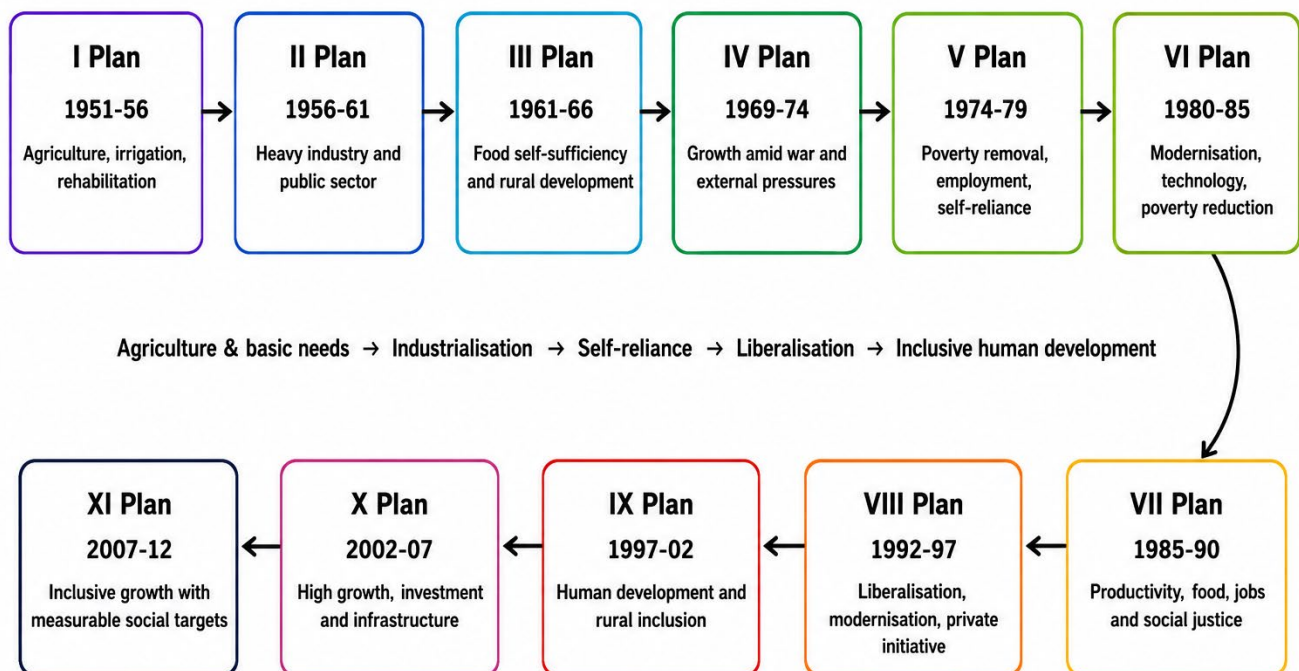
1. Survey national needs and development gaps.
2. Assess resources and constraints.
3. Consult Central Ministries and State Governments.
4. Set priorities, targets and sectoral allocations.
5. Prepare the plan and related programmes.
6. Create implementation machinery and assign responsibility.
7. Execute through public agencies, states and participating private institutions.
8. Appraise progress and revise policies using feedback.

Review of India's Five-Year Plans

1. Why Five-Year Plans Matter

Five-Year Plans converted broad national goals into a medium-term programme of sectoral priorities, public expenditure, projects and measurable targets. They helped coordinate agriculture, industry, infrastructure, employment and social development. The source reviews the First through Eleventh Plans and shows how the focus changed over time.

Evolution of India's Five-Year Plan Priorities



The source reviews the First through Eleventh Plans; the emphasis gradually broadened from sectorial investment to measurable social outcomes.

Plan Holiday

Plan Holiday refers to the period from 1966 to 1969 in India when the regular Five-Year Plan process was temporarily suspended because of the failure of the Third Plan, wars, severe droughts, inflation and financial difficulties. During this time, the government introduced three Annual Plans instead of a full Five-Year Plan, giving priority to agriculture, price stability, resource mobilisation and economic recovery. This period helped stabilise the economy and prepared the way for the Fourth Five-Year Plan in 1969.

2. First Five-Year Plan (1951-1956)

Dimension	Notes
Main focus	Agriculture, irrigation, rehabilitation and improvement of living standards
Why the plan was needed	India required food security, rural recovery, irrigation, transport and rehabilitation after independence and Partition.
Overall importance	It built the agricultural and infrastructural foundation of planned development and demonstrated that coordinated public investment could raise growth and living conditions.

Important points

- Presented in Parliament by Prime Minister Jawaharlal Nehru on 8 December 1951.
- Estimated total outlay: Rs. 2,069 crore.
- Major allocations: community and agricultural development; energy and irrigation; communications and transport; industry; land rehabilitation; social services.
- GDP growth target: 2.1% per year; actual growth stated in the source: 3.6% per year.
- Major irrigation projects included Mettur, Bhakra and Hirakud dams.
- Provisions for landless agricultural workers, soil conservation, experiments and training in cooperatives.
- Expansion of roads, civil aviation, railways, telegraphs and posts.
- Support for fertiliser and electrical-equipment industries, small-scale industries and village industries.

3. Second Five-Year Plan (1956-1961)

Dimension	Notes
Main focus	Heavy industry, industrialisation and public-sector development
Why the plan was needed	A basic industrial base was needed to reduce import dependence, expand capital-goods capacity and create long-run productive strength.
Overall importance	It shifted India from an agriculture-first approach toward structural industrialisation, but also increased the role of state control and licensing.

Important points

- Sought to carry forward the gains of the First Plan.
- Tasks: raise national income by 25%, industrialise the country and increase employment opportunities.
- Estimated development outlay: Rs. 4,800 crore.
- Major sectors: mining and industry; community and agriculture; power and irrigation; social services; communications and transport; miscellaneous.
- Focused especially on heavy industry and domestic production of industrial goods in the public sector.
- Steel plants were established at major centres including Jamshedpur, Durgapur and Bhilai; hydro-electric development and coal production also expanded.
- Railway lines were extended in the north-east.
- Land reform measures aimed to reduce socio-economic constraints in rural areas.

4. Third Five-Year Plan (1961-1966)

Dimension	Notes
Main focus	Food self-sufficiency, agriculture, employment and equality
Why the plan was needed	Industrial growth could not be sustained without adequate food, agricultural productivity and rural institutions.
Overall importance	It recognised agriculture as the base of the economy and strengthened decentralised institutions for rural development.

Important points

- Targeted a 5% annual increase in national income.
- Sought self-sufficiency in food grains, employment for citizens and greater equality.
- Placed stronger emphasis on agriculture than the first two plans.
- Government support included incentives and subsidies for agriculture.
- States received greater responsibility for plan participation.
- Panchayats and Zila Parishads were set up at block and district levels to promote rural development.
- Emphasis on soil conservation, irrigation, afforestation and dry farming.
- Fertiliser and cement plants were built; social services and education received attention.

5. Fourth Five-Year Plan (1969-1974)

Dimension	Notes
Main focus	Growth and stability under major political and external pressures
Why the plan was needed	The economy had to continue development while responding to war, refugee pressures, strategic needs and financial constraints.
Overall importance	It demonstrates how external shocks and national security can alter plan priorities and resource allocation.

Important points

- The period included nationalisation of major banks under Prime Minister Indira Gandhi.
- The 1971 Indo-Pakistan War and Bangladesh Liberation War created major fiscal and strategic pressure.
- Funds intended for industrial development were partly diverted to the war effort.
- India conducted the Smiling Buddha underground nuclear test in 1974.

6. Fifth Five-Year Plan (1974-1979)

Dimension	Notes
Main focus	Employment, poverty reduction and self-reliance
Why the plan was needed	The oil, food and fertiliser price shocks of the 1970s made self-reliance in food and energy urgent.
Overall importance	It linked growth with poverty removal, local employment and resilience against external price shocks.

Important points

- Main objectives: increase employment, reduce poverty and attain self-reliance.
- The international economy faced turmoil and inflationary pressures, especially in food, oil and fertilisers.
- Food-grain production rose above 118 million tonnes according to the source, supported by power, coal, steel and fertiliser availability.
- Commercial oil production from Bombay High strengthened domestic energy capacity.
- Exports increased and foreign-exchange reserves improved.
- Reduce social, regional and economic disparities.
- Enhance agricultural productivity and initiate land reforms.
- Check rural and urban unemployment.
- Promote household and cottage industries: carpets, handlooms, sericulture and handicrafts.
- Encourage self-employment through integrated local planning.
- Promote import substitution in machinery, chemicals, paper, iron and steel and non-ferrous metals.
- Use fiscal, credit and production-support policies for cottage industries and encourage labour-intensive technology.

7. Sixth Five-Year Plan (1980-1985)

Dimension	Notes
Main focus	Industrialisation, employment, poverty reduction and technological self-reliance
Why the plan was needed	India needed modern technology, higher productivity, domestic energy and stronger social programmes while dealing with rapid population growth.
Overall importance	It broadened planning from industrial expansion to technology, minimum needs, population, health and environmental concerns.

Important points

- Aimed at speedy industrialisation, higher employment, poverty reduction and technological self-reliance.
- The source notes diversification of industry and advances in science and technology.
- Public-health and epidemic-control programmes aimed to reduce infant mortality and increase life expectancy.
- Increase the overall growth rate and improve resource-use efficiency.
- Raise productivity and modernise the economy.
- Control poverty and unemployment.
- Develop indigenous energy sources and promote efficient energy use.
- Improve citizens' quality of life and introduce the Minimum Needs Programme for the poor.
- Use family-planning programmes to check population growth.
- Protect ecological and environmental assets and promote education at all levels.

8. Seventh Five-Year Plan (1985-1990)

Dimension	Notes
Main focus	Productivity, food grains, employment, social justice and energy
Why the plan was needed	The next stage required self-sustaining growth, wider employment, agricultural productivity and stronger welfare for vulnerable groups.
Overall importance	It connected productivity with social justice, technology, rural access and welfare, creating a wider concept of development.

Important points

- Approved by the National Development Council for the period beginning in 1985.
- Main objectives: increase economic productivity, food-grain production and employment opportunities.
- Thrust areas: social justice, removal of oppression of weaker sections, modern technology, agriculture, anti-poverty programmes, basic needs, farm productivity and economic independence.
- Expected labour-force growth of 39 million and employment growth of about 4% per year according to the source.
- Special attention to women, children, Scheduled Tribes and Scheduled Castes; poverty ratio was expected to decline.
- Agricultural drive covered oilseeds, fruits, vegetables, pulses, cereals, fish, eggs, meat and milk.
- Welfare measures included girls' education, family welfare, health care and reduction in infant mortality.
- Communications development included informatics, telematics and linking telecommunications with computers.

- Transport policy emphasised inland waterways, pipelines, civil aviation and coastal shipping; village accessibility was to improve.

9. Eighth Five-Year Plan (1992-1997)

Dimension	Notes
Main focus	Modernisation, employment, poverty reduction and economic reform
Why the plan was needed	A foreign-exchange crisis and political instability required liberalisation, privatisation, foreign investment and more efficient use of domestic resources.
Overall importance	It marked the transition from licence-based control toward a more open, competitive and private-sector-oriented economy.

Important points

- There was a two-year gap after the Seventh Plan because of political instability and economic crisis.
- The period saw liberalisation and privatisation and efforts to attract foreign direct investment.
- Prioritise sectors requiring immediate investment and generate large-scale employment.
- Improve health care, sanitation, communication and education at all levels.
- Check population growth through mass awareness.
- Diversify agriculture and achieve food self-reliance with exportable surpluses.
- Strengthen energy, power and irrigation infrastructure.
- Raise scientific and technological capacity.
- Modernise the economy and build global competitiveness.
- Give a greater role to private initiative while reserving the public sector for strategic, high-technology and essential infrastructure.
- Strengthen mass institutions and people's participation in development.

10. Ninth Five-Year Plan (1997-2002)

Dimension	Notes
Main focus	Human development, employment, poverty reduction and rural development
Why the plan was needed	After fifty years of independence, development required a stronger social-sector focus and coordinated participation by government, private institutions and citizens.
Overall importance	It made human development, participation and basic services central to economic planning rather than treating growth alone as the final objective.

Important points

- Emphasised human development, faster growth, full-scale employment and poverty eradication.
- Prioritise agriculture and rural development.
- Generate adequate employment and reduce poverty.
- Stabilise prices to support economic growth.
- Ensure food and nutritional security.

- Provide basic infrastructure: education, safe drinking water, primary health care, transport and energy.
- Check population growth.
- Promote women's empowerment and protect benefits for special groups.
- Create a liberal market to encourage private investment.

11. Tenth Five-Year Plan (2002-2007)

Dimension	Notes
Main focus	High economic growth, investment, infrastructure and competitiveness
Why the plan was needed	India sought to build on sustained growth and move toward the group of rapidly industrialising economies.
Overall importance	It focused planning on enabling investment, infrastructure, productivity and integration with a more competitive economy.

Important points

- The source states a goal of transforming India into one of the fastest-growing economies and targeting very high annual growth.
- Promote more flexible and investor-friendly economic reforms.
- Create a congenial investment environment and encourage private-sector involvement.
- Develop state-of-the-art infrastructure and industrial capacity.
- Improve corporate transparency.
- Mobilise and optimise financial resources.
- Use supportive industrial-policy instruments.

12. Eleventh Five-Year Plan (2007-2012)

Dimension	Notes
Main focus	Faster and more inclusive growth with measurable social targets
Why the plan was needed	High growth needed to be translated into jobs, lower poverty, better education and health, gender inclusion, infrastructure and environmental improvement.
Overall importance	It operationalised "inclusive growth" through quantified outcomes across income, education, health, gender, infrastructure and the environment.

Important points

- Income and poverty: accelerate GDP growth, raise agricultural growth, create 70 million work opportunities, reduce educated unemployment, raise real wages of unskilled workers and reduce poverty.
- Education: reduce elementary dropout rates, define minimum learning standards, raise literacy, narrow the gender literacy gap and expand higher education participation.
- Health: reduce infant and maternal mortality, lower fertility, provide clean drinking water, reduce child malnutrition and reduce anaemia among women and girls.
- Women and children: improve the child sex ratio, ensure at least one-third of scheme benefits reach women and girls, and protect children from compulsory work.
- Infrastructure: village electricity and round-the-clock power, all-weather roads, telephone and broadband connectivity, homestead sites and rural housing.

- Environment: increase forest and tree cover, improve urban air quality, treat urban wastewater and raise energy efficiency.

Major measurable targets stated in the source

Area	Targets
Income & poverty	Raise GDP growth from 8% to 10% and maintain 10% in the Twelfth Plan; double per-capita income by 2016-17; raise agricultural GDP growth to 4%; create 70 million jobs; reduce educated unemployment below 5%; raise real wages of unskilled workers by 20%; reduce consumption-poverty headcount by 10 percentage points.
Education	Reduce elementary dropout from 52.2% to 20%; establish minimum learning standards with regular testing; raise literacy (age 7+) to 85%; reduce the gender literacy gap to 10 percentage points; raise higher-education participation from 10% to 15%.
Health	Reduce infant mortality to 28 and maternal mortality to 1 per 1,000 live births as stated in the source; lower total fertility rate to 2.1; provide clean drinking water for all; halve malnutrition among children aged 0-3; reduce anaemia among women and girls by 50%.
Women & children	Raise the 0-6 sex ratio to 935 by 2011-12 and 950 by 2016-17; ensure at least 33% of beneficiaries of government schemes are women and girls; ensure a safe childhood without compulsion to work.
Infrastructure	Provide electricity connections to all villages and BPL households and round-the-clock power; all-weather roads to eligible habitations; telephone and broadband village connectivity; homestead sites and faster rural housing for the poor.
Environment	Increase forest and tree cover by 5 percentage points; attain WHO air-quality standards in major cities; treat urban wastewater; improve energy efficiency by 20 percentage points by 2016-17.

